

This document is the European Union's (EU) proposal for legal text provisions on specific measures concerning the management of preferential treatment in the EU-Indonesia FTA. It will be tabled for discussion with Indonesia. The actual text in the final agreement will be a result of negotiations between the EU and Indonesia.

DISCLAIMER: The EU reserves the right to make subsequent modifications to this text and to complement its proposals at a later stage, by modifying, supplementing or withdrawing all, or any part, at any time.

Article XY - SPECIFIC MEASURES CONCERNING THE MANAGEMENT OF PREFERENTIAL
TREATMENT

1. The Parties agree to co-operate in preventing, detecting and combating breaches in customs legislation related to the preferential treatment granted under this [Title/Chapter], in accordance with their obligations under the Protocol on Rules of Origin and the Protocol on Mutual Administrative Assistance in Customs Matters.
2. A Party may, in accordance with the procedure laid down in paragraph 3, temporarily suspend the relevant preferential treatment of the product(s) concerned when:
 - (a) a Party has made a finding, on the basis of objective information, that breaches in customs legislation related to the preferential treatment granted under this [Title/Chapter] have been committed, and;
 - (b) the other Party repeatedly refuses or otherwise fails to comply with its obligations referred to in paragraph 1.
3. The Party which has made a finding referred to in paragraph 2 shall, without undue delay, notify the [Trade/Association Committee] thereof and enter into consultations with the other Party within the [Trade/Association Committee] with a view to reaching a solution acceptable to both Parties.

Where the Parties have failed to agree on an acceptable solution within three months following the notification, the Party which has made the finding may decide to suspend temporarily the relevant preferential treatment of the product(s) concerned. A temporary suspension shall be notified to the Committee without undue delay.

The temporary suspensions shall apply only for a period necessary to protect the financial interests of the Party concerned, and not longer than six months. Where the conditions that gave rise to the initial suspension persist at the expiry of the six month period, the Party concerned may decide to renew the suspension. The pending suspensions shall be subject to periodic consultations within the [Trade/Association Committee].

4. Each Party shall publish, in accordance with its internal procedures, notices to importers about any notification and decision concerning temporary suspensions referred to in paragraph 3.